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LINE 12

26-CIV-04669

AVAYA LLC VS. XC EDIFY A, LLC, ET AL.

AVAYA LLC

XC EDIFY A, LLC

PETITION OF CAPKEY ADVISORS, APC TO QUASH OUT OF STATE DEPOSITION SUBPOENA FOR PRODUCTION OF DOCUMENTS PURSUANT TO CODE OF CIVIL PROCEDURE SECTION 2029.600

TENTATIVE RULING:

The unopposed Petition to Quash Out-of-State Deposition Subpoena (the “Petition”) brought by Petitioner CapKey Advisors, APC is GRANTED.

Background

Petitioner asserts that it is a non-party to an out-of-state action, pending in Delaware (Case No. C.A. No. N25C-10-253-PAW (CCLD) (the “Lawsuit”)). Pursuant to a statute which is part of the Interstate and International Depositions and Discovery Act (Code Civ. Proc., §§ 2029.100 - 2029.900), Petitioner seeks an Order quashing a Subpoena for Production of Business Records in Action Pending Outside California (the “Deposition Subpoena”) served upon it regarding the Lawsuit, because the Deposition Subpoena would require Petitioner to disclose information protected by the attorney-client privilege, the work-product doctrine, or both.

The Petition Is Granted.

Petitioner is a California professional services corporation which provides legal advice to clients, including Defendant XC Edify – A, LLC (hereinafter, “Defendant” unless otherwise specified), regarding mergers and acquisitions. (Howard Decl., ¶ 2.) The Deposition Subpoena was served upon Petitioner’s Chairman, Rodrigo J. Howard, and its statutory agent for service of process, Joseph B. Hershenson. Mr. Howard is a California-licensed attorney for Defendant, who provided legal services to Defendant regarding a proposed asset purchase agreement (“APA”) involving one of Defendant’s portfolio companies. (*Id.*, ¶¶ 2-3.)

The Deposition Subpoena seeks documents relating to the APA. (*Id.*, ¶ 4, & Exh. A.) Good cause exists to quash the Deposition Subpoena, because the Deposition Subpoena would require Petitioner to disclose information protected by the attorney-client privilege, the work-product doctrine, or both. (*Id.*, ¶ 5.)

Although the discovery sought is to be used in a foreign jurisdiction, California law governs this issue. (Code Civ. Proc., § 2029.500.) If a dispute such as the instant arises, any party may petition the Superior Court where the discovery is to be conducted for an Order quashing the subpoena (*inter alia*). (Code Civ. Proc., § 2029.600, subd. (a).)

Strong policy considerations disfavor deposing opposing counsel, so that, “Depositions of opposing counsel are presumptively improper, severely restricted, and require ‘extremely’ good

cause—a high standard.” (*Carehouse Convalescent Hospital v. Super. Ct.* (2006) 143 Cal.App.4th 1558, 1562 (*Carehouse*) (citations omitted).) As the Court of Appeal explains:

To effectuate these policy concerns, California applies a three-prong test in considering the propriety of attorney depositions. First, does the proponent have other practicable means to obtain the information? Second, is the information crucial to the preparation of the case? Third, is the information subject to a privilege?

Each of these prongs poses an independent hurdle to deposing an adversary’s counsel; *any one of them may be sufficient* to defeat the attempted attorney deposition.

(*Carehouse, supra*, 143 Cal.App.4th 1558, 1563 (citations omitted).) The proponent of the deposition bears the burden of proof to establish the first two prongs, and the opponent, the third.

Petitioner asserts that even though the Deposition Subpoena would require Petitioner to disclose privileged information, Plaintiff, whose attorney served the Deposition Subpoena (Howard Decl., ¶ 4, & Exh. A), has not established the extremely good cause required to subpoena an opposing party’s attorney. The Deposition Subpoena seeks “[A]ll non-privileged Documents and Communications concerning the drafting, negotiation, execution, intent, meaning, and/or understanding by the Parties’ [sic] and their respective counsel” of listed provisions of the APA. (Howard Decl., ¶ 4, & p.17, in Exh. A.) However, such communications or documents reflecting Petitioner’s thought processes would be privileged, so that the only nonprivileged documents that might exist would consist of communications with other parties, which are by definition available from other sources, if they are not already in Plaintiff’s possession. Thus, Plaintiff has not met its burden on the first prong, which alone suffices as a basis for quashing the Deposition Subpoena.

In addition, Plaintiff has not met its burden on the second prong, as Plaintiff has not shown that the broad scope of documentation sought is crucial to the preparation of its case, nor submitted facts whence such a determination could be made. This alone independently suffices as a basis for quashing the Deposition Subpoena.

Petitioner seeks to quash the Deposition Subpoena in its entirety, though its assertions of privilege apply only to the first request therein. The Deposition Subpoena includes two additional requests to which the assertions of privilege cannot apply, for:

2. Non-privileged Documents and Communications concerning Pivotal’s and Xplorer’s obligations to indemnify Avaya pursuant to the APA[; and]
3. Non-privileged Documents and Communications concerning the Edify Founders.

(Howard Decl., p.17, in Exh. A.) The Deposition Subpoena nonetheless fails the *Carehouse* test as to these additional requests, since any one of its prongs alone may suffice to defeat the attempted deposition (*Carehouse, supra*, 143 Cal.App.4th 1558, 1563), and Respondent has not filed a Response to meet its burden on the first nor the second prong. Accordingly, the third prong need not be reached.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for Petitioner shall prepare for the Court’s signature a written order consistent with the Court’s ruling, pursuant to California Rules of Court, rule 3.1312, and provide written notice of the ruling

to all parties who have appeared in the action, as required by law and by the California Rules of Court.



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